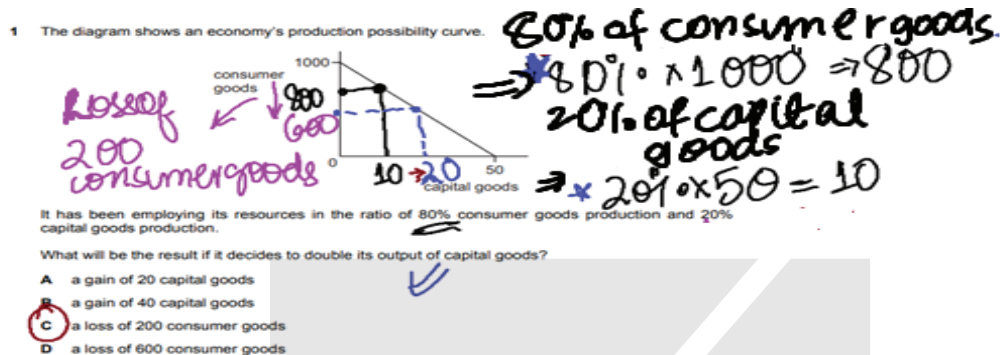


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1C:



-Doubling the output of capital goods(from 10 to 20) means that now 40% of resources will be allocated to the production of capital goods.
- This means that now 60% of resources will be allocated to consumer goods($60\% \times 1000 = 600$) .
Initially 800 of consumer goods was being produced and now 600 of consumer goods is being produced, this means that there will be a loss of 200 consumer goods.

2-B:

A:It is a fact-based statement which can be objectively analyzed .The outcome of this policy in form of fewer people being able to afford treatment is a “positive statement”

B- This is an opinionated statement which uses the word “unfair” to subjectively analyze the impact on poor people.

C- Of course, richer class who can afford will be paying the higher charges.Again,this can be tested.

D- It is a fact-based statement which can be objectively analyzed .The outcome of this policy in form of “falling health and productivity” is a “positive statement”

3-A:

To function effectively as a medium of exchange, money needs to be widely accepted by individuals and businesses in exchange for goods and services.

- A) Acceptable: Acceptability is the most crucial characteristic of money as a medium of exchange. Money must be universally accepted by individuals and businesses in a given economy. Without general acceptance, money would not effectively facilitate the exchange.

B) Divisible: While divisibility is important for money to facilitate transactions of different values, it is not the most crucial characteristic for it to serve as a medium of exchange.

C) Durable: Durability is necessary for money to withstand wear and tear and retain its value over time. However, durability alone does not make money an effective medium of exchange if it is not widely accepted as a means of payment.

D) Portable: Portability is important for money to be easily carried and transported. However, like durability, portability is not the most essential characteristic for money to function as a medium of exchange. Portable money allows for convenient transactions but does not guarantee its acceptability.

4-B:

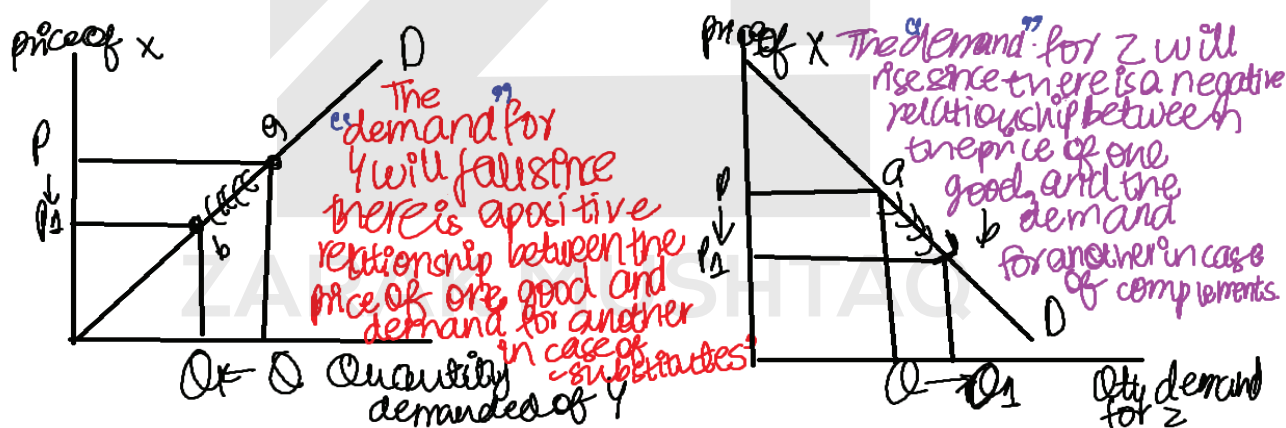
A-This is a characteristic of planned economy as since the government decides what to produce, consumers have limited influence on what is produced.

B-It is in a market economy that "profit" is the motive for increasing output, unlike planned economy which operates with the objective of "social welfare"

C:Resources being owned by the government is again a feature of planned economy

D:It is equally correct to say that there is limited competition unlike market economy, in a planned economy.

5-C:



The demand for "Y" will fall since there is a positive relationship between the price of one good and demand for another in case of substitutes.

The demand for "Z" will rise since there is a negative relationship between the price of one good and the demand for another in case of complements.

6-A:

- 6 The table shows how an individual's weekly consumption of biscuits and coffee varies with income.

income (\$)	biscuits (packs)	coffee (cups)
100	0	5
150	5	10

Which statement about the income elasticity of demand over the range of income shown is true?

- A For biscuits it is greater than 1. VED is ∞

B For biscuits it is zero. $\times$

C For coffee it is less than 1. $\times$

D For coffee it is unitary (>1)

$VED = \frac{\% \text{ change in QD}}{\% \text{ change in income}}$

* Biscuits $\Rightarrow \frac{5-0}{0} \times 100$

$\frac{150-100}{100} \times 100$

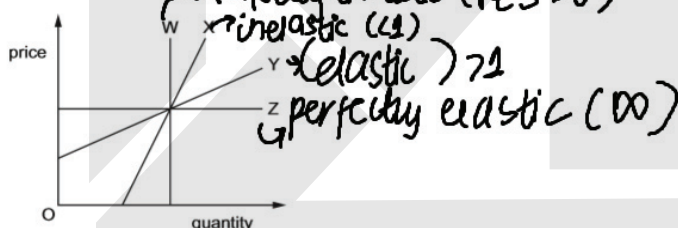
* Coffee $\Rightarrow \frac{10-5}{5} \times 100 = 2$

$\frac{150-100}{100} \times 100$

∞ Math error represents $\infty \rightarrow$ infinity.

7-C:

- 7 The diagram shows four supply curves.



A – Although W that represents perfectly inelastic supply (whereby $PES=0$), will have elasticity of zero, it can not rise as price rises, as it will be $=1$ throughout the length of the curve.

B _ This is incorrect as X (inelastic supply) has an elasticity of less than 1

C _ Y has elasticity of greater than 1 (elastic supply) which will fall as price rises, thus making this correct

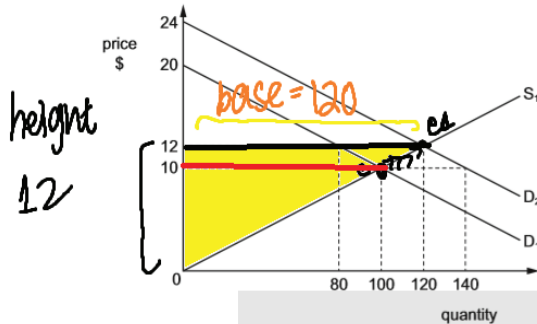
D _ Z has an elasticity of infinity since it represents “perfectly elastic supply”, thus making this incorrect.

8-B:

Z

4

- 8 The diagram shows the market for a good with an initial equilibrium price of \$10. The demand for the good increases by 40 units at every price causing the equilibrium price to rise to \$12.



Area of triangle = $\frac{b \times h}{2}$
 $\rightarrow \frac{120 \times 12}{2}$
 $\rightarrow 720$

What is the value of the producer surplus after the price increase?

- A \$500 **B \$720** C \$1000 D \$1440

9-B:

- 9 The equation for the quantity demanded (Q_D) for a product is $Q_D = 400 - 20P$ where P = price in dollars. The quantity supplied (Q_S) is given by $Q_S = 100 + 40P$.

What change will occur if the price rises from \$5 to \$6?

- A the market will move from equilibrium to shortage
B the market will move from equilibrium to surplus
 C the market will move from shortage to surplus
 D the market will move from surplus to shortage

* Initial price = 5

$Q_D = 400 - 20(5) = 300$
 $Q_S = 100 + 40(5) = 300$
 $Q_D = Q_S$
 Market is in "equilibrium"

* New price = 6

$Q_D = 400 - 20(6) = 280$
 $Q_S = 100 + 40(6) = 340$
 $Q_S > Q_D \Rightarrow \text{"surplus"}$

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10-D:

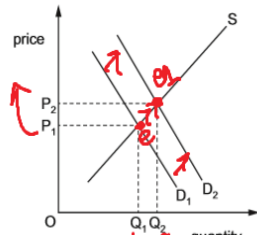
A: A subsidy being given to producers of oats will reduce costs of production, increasing the "supply of oats". We are interested in an option that increases the "supply of wheat"

B: Imposition of a unit tax on the production of wheat will increase costs of production, reducing the supply of wheat.

C: Increases in wages after having increasing labor costs that form the greatest proportion of "total costs" of firms, after having increased costs of production will reduce the supply of wheat

D: Improved efficiency in the harvesting of wheat will reduce the costs of production of wheat, increasing its supply, thereby making the option correct.

11-D:



Increase in demand

A – This extension in qty supplied is a result of a rise in demand.

B_ A poor harvest represents a leftward shift in the supply curve.

C – A price change from P_1 to P_2 , will again be a result of a rise in demand

D- An increase in real incomes would increase purchasing powers, causing a rightward shift in the demand curve.

12-B:

A: An increase in real disposable income representing income adjusted for inflation from which taxes have been deducted, apart from having increased purchasing powers and consumer confidence would increase demand, causing the demand curve to shift rightwards.

B: An increase in costs of borrowing as a result of a rise in interest rates would reduce borrowing to finance “big ticket items” for example: cars, resulting in a leftward shift in the demand curve, making this option correct.

C: An increase in price of new cars would cause a movement along the demand curve.

D: Similarly, an increase in price of train travel would increase the demand for “cars”, since there is a positive relationship between the price of one good and the demand for another in case of substitutes.

13-C:

A: Market supply will increase when most of, and not all individual firms increase their output

B: This is the definition of “effective demand”

C: Market supply is the horizontal summation or aggregation of individual supply curves in a market, thus making this option correct.

D: The concept of “inferior goods” is related to “incomes” and “income-elasticity of demand”

14-B:

A transfer payment is a payment made by the government without receiving goods and services in exchange. These payments are non-exhaustive because they do not directly absorb resources or create output

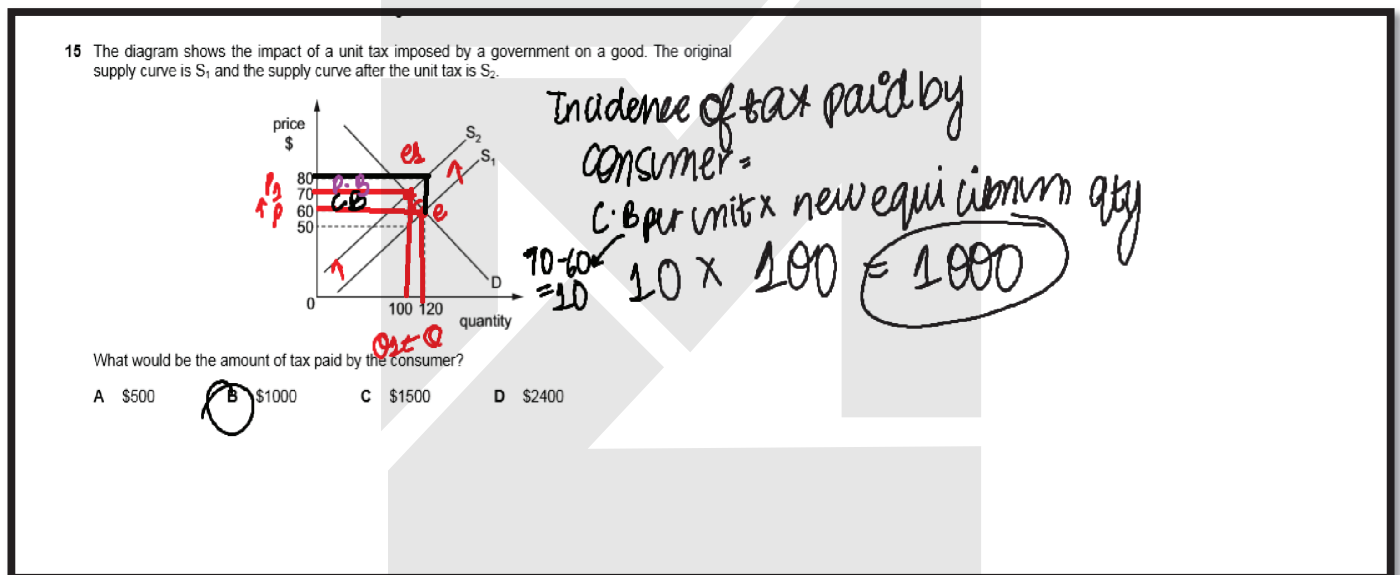
A: If a govt provides loans to firms , it will help in contributing to the output.

B: This is correct to say that it is a payment made to individuals that is not linked to economic activity.

C: It is not in exchange for work done

D: Firms are providing goods, this is why, this payment can not be a "transfer payment"

15-B:



16-D:

A – Healthcare is a private good ,as it possesses the characteristics of rivalry, that is when consumption by one individual reduces the consumption for available ,and also excludability, that is, when payment by one individual restricts another individual from consuming it . It is also reject-able as an individual can reject it by simply not paying for it. Under the category of private goods, healthcare is a 'merit good'. If the government engages itself in direct provision of healthcare at zero charge , it would not become a "public good" ,as it will still exhibit characteristics of rivalry and excludability.

B – It does not matter who provides healthcare, healthcare would still have external benefits since it is a merit good in the case of which social benefits exceed private benefits due to existence of external benefits, that are positive externalities enjoyed by the third party who is not directly involved in the consumption or production of the good .An example of this are

Covid vaccines which were provided by the government at zero charge, and those who got themselves vaccinated reduced the risk of others contracting the disease, representing external benefits.

C – Health-care is a merit good which is under-consumed, due to lack of adequate, accurate or appropriate information about the true value these goods present, and due to these existing imperfections or in other words information failure, they are under-realized and under-valued. **By nature, healthcare is always under-consumed.**

D – Since quantity demanded would extend as a result of provision at zero-charge, and quantity supplied would remain fixed, shortages would occur and in order to cope up scarcity, rationing will have to be done by the government. It is when a certain quantity of health-care is allotted by the government to individuals to ensure a fairer distribution of health-care, thus making this option correct.

17-D:

A,B,C: Along with private goods, “complementary goods” for example: car and petrol, and merit goods, for example: healthcare, are also examples of private goods, which exhibit the features of “rivalry” that is when consumption by one individual reduces the amount available for others to consume.

D: A “public good” exhibits the characteristic of “non-rivalry” that is when consumption by one individual does not reduce the consumption by another individual.

18-D:

Income of 20,000 $20\% \times 20,000 \Rightarrow \frac{4000}{20,000} \times 100 \rightarrow 20\%$ $20\% \times 40,000 \Rightarrow \frac{8000}{40,000} \times 100 \rightarrow 20\%$ The percentage of tax is fixed at 20% between incomes of 20,000 representing 'proportional tax'	Ⓐ Average rate of tax $\rightarrow \frac{\text{Tax}}{\text{Income}} \times 100 \rightarrow \frac{16,000}{80,000} \times 100 \rightarrow 20\%$ At 80,000, 20% will be taxed representing 'average rate of tax' Ⓑ At an income level of 200,000 $\rightarrow 100,000 \times 20\% \Rightarrow 20,000$ $\rightarrow 100,000 \times 50\% \Rightarrow 50,000$ $\frac{50,000 + 20,000}{200,000} \times 100 = 35\%$ A.R.T
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The calculation above explains why key A and C will be valid statements.

B: This is valid to say that the tax is a direct tax since it exhibits the characteristic of a “progressive tax” whereby the marginal rate of tax is greater than the average rate of tax.

D: In case of a regressive tax, the average rate of tax falls upon a rise in income, here the exact opposite is happening, as the average rate of tax was 20% for income of 80,000 and 35% for income of 200,000, thus making this an invalid statement, as a result of which, this option becomes the right choice.

19-A:

WE ARE TALKING FROM THE PERSPECTIVE OF AGRICULTURAL ECONOMIES

Terms of trade is the ratio of export prices to the ratio of import prices.

A-A falling "exchange rate" representing depreciation in agricultural economies will **reduce the prices of exported goods** and **increase the prices of imported goods in the domestic economy** as more of the units of currency will have to be exchanged to buy foreign goods.

This is why, this leads to a fall in numerator and a rise in denominator, leading to a worsening effect on TOT.

B-A fall in the productivity of agricultural economies will increase costs of production, leading to a rise in prices of "exported goods", causing a favorable impact on Terms of Trade.

C-Since the agricultural economies are producing agricultural goods, they would be importing "manufactured goods" and a rise in productivity in manufacturing economies would reduce the prices of manufactured goods. And from the perspective of an agricultural economy, the prices of imported goods will reduce, causing the TOT to improve.

D-If there is a high-income elasticity of demand for food stuffs, a relatively smaller rise in incomes would lead to a larger increase in demand, leading to shortages and a rise in export prices, thereby leading to an improvement in the terms of trade.

20-B:

20 The table shows the output of rice and cotton for countries X and Y.

	units of output of rice per year	units of output of cotton per year
country X	5000	5000
country Y	4000	2000

Each country divides its resources equally between the production of rice and cotton.

Comparative advantage: Ability to produce at a lower opportunity cost.

lower

A Country X has the higher opportunity cost in producing cotton.

B Country Y has the lower opportunity cost in producing rice. *yes*

C Country X should produce both goods as the opportunity cost is the same.

D Country Y should produce both goods as it has an absolute advantage in both.

Trade is based on comparative advantage.

Y has a lower opportunity cost comparative advantage in rice.

rice : cotton
X : 5000 : 5000
X : 1 : 5000
5000

cotton : rice
X : 5000 : 5000
1 : 1

rice : cotton
Y : 4000 : 2000
1 : 0.5

cotton : rice
Y : 2000 : 4000
1 : 2

** X has a comparative advantage in cotton, since it has a lower opportunity cost*

21-C:

We are interested in an option that may increase "Aggregate demand" to observe a "rise in real output", or an option where there is a rise in "Aggregate supply" to observe a "rise in real output."

A-A fall in income taxes even though causes a rise in disposable income, increasing purchasing powers and subsequently a rise in consumption, and in turn Aggregate demand, would have its effect of a rise in AD offset due to a fall in government spending, which will reduce Aggregate demand.

B-A rise in consumption does increase AD, causing a rise in real output, but a rise in the costs of raw material would decrease AS, causing a fall in real output, therefore the net effect on real output will be uncertain.

C-A rise in export revenues relative to import expenditures represents a BOT surplus that represents net injections in to the circular flow, which will lead to a rise in AD and in turn real output, making this correct.

D-A rise in government expenditure leads to a rise in AD, but the effect of a rise in real output would be offset by a reduction in AD due to a fall in investment.

22-C:

In year 1, there is no inflation

In year 2, the rate of inflation was:

$102-100/100 * 100$ i.e. 2% which can be found out making use of the formula : $\text{New-Old}/\text{Old} * 100$

In between year 2 and 3, it will be $(105-102/102)*100$ i.e. 2.94

In between year 3 and 4, it will be $(110-105/105)*100$ i.e. 4.76

Whereas, if we compare the index of money wages (Nominal wages), we will be able to find out percentage change in Nominal wages.

Between year 1 and 2: $(102-100/100)*100$ i.e. 2%

Between year 2 and 3 :

$(107-102/102)*100$ i.e. 4.90

Between year 3 and 4: $(110-107/107)*100$ i.e. 2.80

We are asked to indicate a statement which is not correct.

A- If we look at our calculations above, it can be seen that inflation was greatest between years 3 and 4, thus making this incorrect.

B- Real wages represent Nominal wages as they are adjusted with inflation.

Between year 1 and 2: the inflation was 2% and a percentage increase in wages was 2% therefore making use of the formula (percentage change in Nominal income - rate of inflation i. e. $2 - 2 = 0$) we are able to identify that real wages actually remained constant between years 1 and 2, thus making it incorrect.

C: Real wages actually fell since the rate of inflation as can be seen in the calculations above is greater than the percentage increase in Nominal wages, this option is not correct and is therefore the answer

D: In every year, inflation is occurring, and the rate of inflation increased from 2% to 2.94% to 4.76%, suggesting that this statement is correct too, thus making the option wrong.

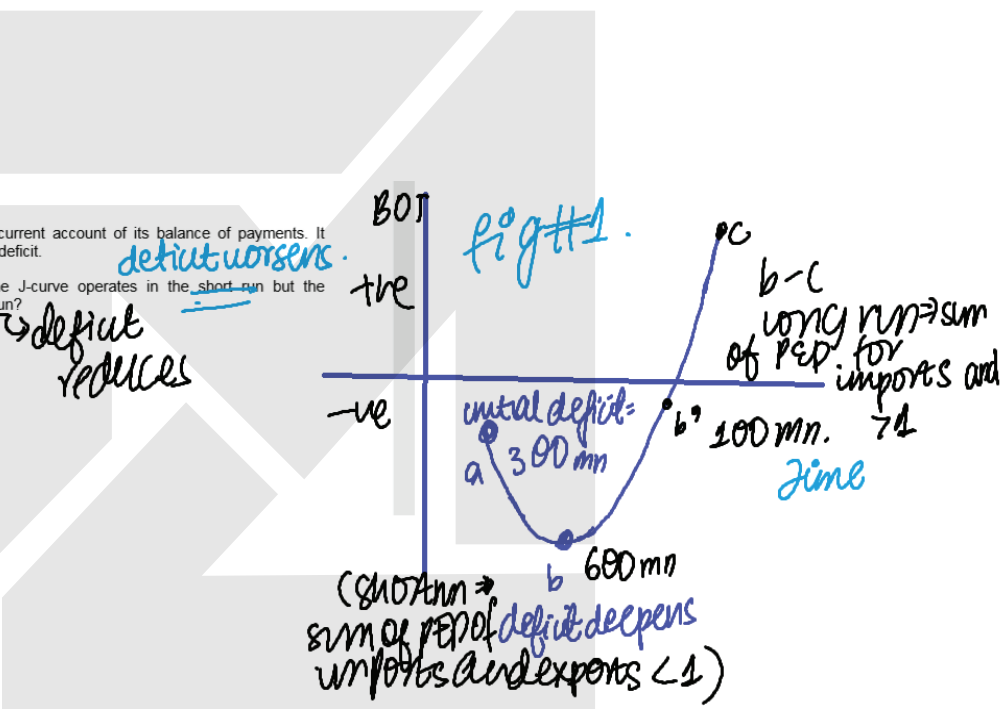
This is why, C will be the answer

23-C:

23 A country has a deficit of \$300 million on the current account of its balance of payments. It devalues its currency in an attempt to reduce the deficit.

Which row is consistent with the idea that the J-curve operates in the short run but the Marshall-Lerner condition is satisfied in the long run?

	short-run deficit (\$ million)	long-run deficit (\$ million)
A	200	100
B	200	400
C	600	100
D	600	400



24-C:

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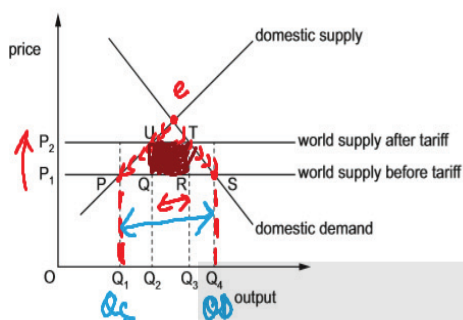
- ✦ Accommodation is a service, so it will be included in "trade in services"
- ✦ Country visited implies that we are referring to the country who is providing service of accommodation, representing an "export in services"

This is why, key C will be correct.

25-D

10

25 The diagram shows the imposition of a tariff on imports.



Which set of values is correct?

	imports before tariff	imports after tariff	tax revenue
A	OQ ₄	OQ ₃	PUTS
B	OQ ₄	OQ ₃	QUTR
C	Q ₁ Q ₄ ✓	Q ₂ Q ₃ ✓	PUTS ✗
D	Q ₁ Q ₄ ✓	Q ₂ Q ₃ ✓	QUTR ✓

26-C:

A: When the government adopts a contractionary monetary policy for example, whereby interest rates are raised, and when it increases savings as a proportion of household disposable income, this decreases consumption expenditure even on imported goods, which would have a favorable impact on the deficit.

B: When the government subsidizes exports, this would reduce the prices of domestically produced goods, leading to "import substitution" causing a contraction in the volume of "imports", again leading to a favorable impact on deficit.

C: When prices of essential raw materials that are imported increase, this would lead to a contraction in qty demanded by smaller percentage, due to their inelastic nature, contributing to a rise in "import expenditures", which would have a worsening effect on the deficit, thus making this correct

D: When tariffs are imposed on imported goods, this makes imported goods expensive, causing the volume of imports to contract by a higher percentage when the demand for them is elastic, leading to a fall in import expenditures, that will reduce the deficit

27-B:

A: When the government lowers the level of domestic interest rates, this will reduce the incentives to invest in the economy, and therefore leads to hot money outflows, which contributes to a fall in demand for currency and in turn “depreciation”.

B: If the government reduces the amount of foreign currency available to citizens through establishment of “foreign exchange controls”, this will reduce the supply for currency leading to “Appreciation of the exchange rate”

C: If subsidies to exporters reduce, exported goods will appear expensive, leading to a fall in demand for exports and export-revenues, consequently causing a reduction in demand for currency which will lead to the currency to “depreciate”.

D: When trade barriers to imports reduce, this will increase the qty that is imported, contributing to “depreciation of the exchange rate”

28-A:

Decreasing interest rates: When interest rates are lowered, it becomes cheaper for businesses to borrow money for investment purposes. This encourages businesses to expand their operations, invest in new projects, and potentially hire more workers. Lower interest rates also make it more affordable for individuals to borrow money for big-ticket purchases, stimulating consumer spending and creating demand for goods and services. This rise in Aggregate demand will cause a rise in production and demand for labor, in turn causing a fall in **demand deficient unemployment that is caused as a result of Aggregate demand being “too low”**.

Increasing government expenditure: When the government increases its spending on public infrastructure projects, such as building roads, bridges, schools, and hospitals, it creates demand for labor. This increased demand for labor can help absorb unemployed workers into new jobs. Increased government spending can have a **multiplier effect** on the economy, stimulating other sectors and generating additional employment opportunities, **again helping to reduce demand deficient unemployment since AD increases**.

Reducing profit tax: Lowering profit tax rates can provide businesses with more after-tax profits, which they can reinvest into their operations. This additional capital can be used to expand businesses, develop new products, and hire additional workers. Lowering profit tax rates can also incentivize entrepreneurship and attract foreign investment, potentially leading to new business ventures. As since, **investment leads to a rise in Aggregate demand, this helps to reduce “demand deficient unemployment”**

Under certain circumstances, lifting the tax rate to T4 might lead to a reduction in tax revenues

- 1. Increased rates of tax avoidance – greater incentive to seek out tax relief, make max use of tax allowances
- 2. Greater incentive to evade taxes (illegal) – i.e. non-declaration of income and wealth **(Tax evasion)**
- 3. Possible disincentive effects in the labour market – depending on which taxes have been increased
- 4. Possible “brain drain” effects – loss of highly skilled, high income taxpayers

B_ If the tax rate is below Z , as can be seen here from "b" to "c", a tax cut will cause the tax revenue to decrease.

C – If the tax rate increases beyond Z to Y for example, the tax revenues will decline (shown from b to a). This is why, this becomes correct. The possible reasons for this are mentioned above in bullets.

D – This is incorrect as the tax revenue will not always increase.

A - Reducing the power of trade unions represents “labor market reforms” that is a supply side policy as when the government makes it easier to hire and fire labor, this will lead to a fall in costs, and a rise in Aggregate supply.

B -A reduction in fiscal deficit implies “fiscal policy”

C - An 'open market sale of securities' represents "monetary policy"

D -The imposition of tariffs is a protectionist tool, which is an “expenditure switching policy”